

TENCENT MUSIC ENTERTAINMENT GROUP (NYSE: TME)

Priced for Decline, Built for Compounding: China's Subscription Music Leader at 5× Ex-Cash Earnings

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Recommendation	12-Mo. Price Target	Current Price	Implied Upside	Risk Rating
BUY	\$13.00	\$7.74 Oct 2, 2026	+68.0% 3.1% dividend yield	Medium China ADR

Market cap	~\$12.2 bn	ADSs out.	~1,574 mn (1 ADS = 2 ord.)
Net cash	RMB 27.7 bn (~\$4.1 bn)	52-week range	\$7.66 – \$23.86
Net cash / mkt cap	~34%	1-yr / YTD return	-66.2% / -55.9%
FY25 P/E (IFRS)	7.4× (\$7.74 vs \$1.05 EPS)	Ex-cash P/E	4.9×
FCF yield (op. EV)	16.6%	Dividend	\$0.24/ADS (3.1% yld)
Buyback remaining	\$600M thru Mar 2027	Sell-side consensus	Hold; avg PT ~\$17.21*

*Targets set pre-August cuts (range \$9.30–\$18.00) and are stale vs the \$7.74 price. TME is China's dominant online music platform — 528M MAU, 127.4M paying subscribers, 55.5% owned by Tencent — that has spent four years converting a regulatory-broken tipping business into a subscription compounder: music services went from 44% to 81% of revenue (2022–2025) while gross margin rose 31% → 44%. The stock sits at 52-week lows because the market sees decelerating user growth, a defensive free tier forced by ByteDance, a full-priced Ximalaya acquisition, and management's decision to stop quarterly KPI disclosure. We see a mix-shift the headline numbers obscure: a dying social segment (–16% YoY) masking a music business growing +11% with 44% gross margins. Strip out the net cash — 34% of market cap — and you pay 4.9× trailing earnings for a 16.6% FCF yield. Our reverse-DCF shows the price implies *perpetual decline* in free cash flow. That is too pessimistic. The v2 scenario DCF (bear \$4.84 / base \$12.70 / bull \$21.87 → weighted \$13.03) prices China risk explicitly in the discount rate and carries the VIE tail exactly once, in the bear. This is research analysis, not personalized investment advice.

Bottom line: a subscription compounder priced as a melting ice cube. BUY; size it knowing the ByteDance threat is real, the KPI blackout means fewer instruments, and the Ximalaya deal must earn its price.

1 Investment Thesis

The investment case rests on five pillars:

The headline growth number is a mix-shift illusion. Q2 2026 revenue grew just 5.8% — but music-related services grew 11.0% (membership +8.1%, ads/IP/concerts strong) while the legacy social-entertainment segment fell 16.4%. The dying segment is now only ~15% of revenue and shrinking; within two years it will be small enough that the music engine's double-digit growth shows through cleanly. The market is valuing the blend, not the engine.

The transformation is complete and the economics are proven. Music services rose from 44% of revenue in 2022 to 81% in 2025; gross margin rose 31% → 44%; operating margin 16% → 41%. Paying subscribers grew 80M → 127.4M with ARPPU rising every quarter through 2025. This is no longer a turnaround story — it is a subscription business with Spotify-like gross margins trading at one-third of Spotify's multiple.

SVIP is the ARPPU engine the model needs. Net paying-user adds are decelerating (+1.3–1.7M/quarter), so future growth must come from price/mix. The Super VIP tier at ~RMB 40/month — 5× the standard ~RMB 8 — has scaled from 10M (Q3 2024) to over 20M subscribers, bundling hi-res audio, karaoke privileges, concerts, and now Ximalaya long-form audio. Converting even a fraction of the 127M base to 5× ARPPU is the single most important variable in the bull case.

The balance sheet is a fortress and capital returns are running. RMB 44.2B gross cash vs RMB 16.5B debt = RMB 27.7B net cash (34% of market cap). Deferred revenue — the subscription leading indicator — is up 27% since year-end. The \$1B buyback has \$600M remaining through March 2027 (Q2 repurchases at ~\$9.20 are already accretive at \$7.74), and the \$0.24/ADS dividend yields 3.1%. You are being paid to wait.

The price implies decline; decline is not the base case. Our reverse-DCF shows the \$7.74 price implies an operating enterprise value *below* what a zero-growth perpetuity justifies — the market is pricing in permanent FCF shrinkage. Against that: music revenue +11%, gross margin 44%, deferred revenue +27%, and an FCF yield of 16.6% on the operating business. The bar for being right is very low.

Why BUY and not HOLD: the v2 scenario DCF (25/50/25, bear \$4.84 / base \$12.70 / bull \$21.87 → weighted \$13.03) offers **+68.0% upside** to the \$13 target, the downside is anchored by \$2.61/ADS of net cash plus a no-growth earnings power value of \$10.76, and the derating catalysts (KPI blackout, Ximalaya indigestion, ByteDance fear) are in the price after a 66% one-year decline. The bear case (–37% vs price) is a genuine VIE-tail realization — a 25% confiscation haircut — carried at full 25% weight, not the v2 note's bear that sat above the price. Ex-cash, our fair value is **10.6× forward EPS** vs NetEase Cloud Music 7.9× / Kuaishou 10.4× (regional comps broadly support). The load-bearing variable is SVIP conversion, unobservable until March 2027 — that is the falsifier, not the discount rate.

2 What the Company Does

Tencent Music Entertainment Group, headquartered in Shenzhen, is China's largest online music and audio entertainment platform and a 55.5%-owned subsidiary of Tencent Holdings (which appoints the CEO, CFO, and General Counsel and holds a board majority). It reports two segments, renamed effective Q1 2026:

Music-related services (~85% of revenue). Streaming subscriptions across QQ Music, Kugou, and Kuwo; advertising; digital album and ticket sales; artist merchandise and offline concerts; and — since the May 18, 2026 closing of the ~RMB 14B acquisition — long-form audio (podcasts, audiobooks) via Ximalaya, China's category leader. Q2 2026 revenue: RMB 7,605M (+11.0% YoY), of which membership services RMB 4,792M (+8.1%) and marketing/consumption services ~RMB 2,813M.

Social entertainment services (~15% of revenue, in managed decline). Online karaoke (WeSing) and music-centric live-stream tipping. Q2 2026 revenue: RMB 1,328M (–16.4% YoY) — the fourth consecutive year of double-digit decline since the 2021 regulatory crackdown on tipping. The segment is margin-rich but structurally impaired; our model assumes continued mid-teens declines.

Scale (last disclosed, Q4 2025): 528M online-music MAU, 127.4M paying subscribers, monthly ARPPU RMB 11.9, and 260M+ licensed tracks. China overtook Germany in 2025 to become the world's 4th-largest recorded-music

market (+20.1% YoY, IFPI) — the formalization tailwind behind the paid model.

3 Product Evaluation

Four apps plus the new audio leg, each with distinct positioning — a portfolio competitors cannot replicate one-for-one:

Product	Position	Assessment
QQ Music	Flagship / premium	Strong — young, urban, iOS-heavy; highest pay-conversion; 'sing/watch/listen/play' four-pillar experience; primary subscription engine
Kugou Music	Mass market	Strong — lower-tier-city reach, C-pop/dance strength; free tier (Sep 2026) is a rational defensive answer to ByteDance
Kuwo Music	Lean-back listening	Stable — curated stations, music videos, mood discovery; smaller but differentiated
WeSing	Karaoke / UGC	Stable — duets, challenges, fan engagement; feeds song discovery back into streaming
Ximalaya	Long-form audio	Positive — podcast/audiobook leader; RMB 407M in ~6 weeks of Q2; strengthens the SVIP bundle; integration is the execution question
SVIP tier	~RMB 40/mo (5× ARPPU)	Strong — >20M subs; the ARPPU engine: hi-res/Dolby, karaoke perks, concerts, long-form audio
AI features	Personal-DJ agents	Positive — real-time playlist agents in QQ/Kugou lifting engagement; 'very clear' monetization path via subscription conversion (mgmt)

No weak leg in the core: the three streaming apps cover premium, mass, and lean-back segments; WeSing supplies the UGC discovery loop; Ximalaya extends time-spent into spoken audio; SVIP monetizes the top of the willingness-to-pay curve. The watch item is the free tier — necessary against ByteDance, but it must convert upward rather than cannibalize paid.

4 Financial Situation

RMB millions; fiscal year = calendar year. Source: 20-F filings (FY22–FY25) and 6-K earnings releases.

RMB millions	FY22	FY23	FY24	FY25
Total revenue	28,339	27,752	28,401	32,902
— Music-related services	12,483	17,325	21,742	26,726
— Social entertainment	15,856	10,427	6,659	6,176
Gross profit / margin	8,773 / 31.0%	9,795 / 35.3%	12,025 / 42.3%	14,535 / 44.2%
Operating margin*	15.7%	21.8%	30.7%	40.6%
Net income (attrib.)	3,677	4,920	6,644	11,056
Diluted EPS / ADS (RMB)	2.27	3.11	4.24	7.11
Operating cash flow	7,481	7,337	10,275	10,231
Free cash flow	6,954	6,716	9,243	9,043

*As presented (includes interest income and other gains). FY25 includes a one-off RMB 2,373M deemed-disposal gain on UMG shares — underlying operating margin is lower by ~7pp; our models adjust for this.

Recent quarters (RMB millions):

	Q3'25	Q4'25	Q1'26	Q2'26
Revenue (YoY)	8,463 (+20.6%)	8,641 (+15.9%)	7,895 (+7.3%)	8,933 (+5.8%)
Music services (YoY)	6,969 (+27.2%)	7,099 (+21.7%)	6,514 (+12.2%)	7,605 (+11.0%)

	Q3'25	Q4'25	Q1'26	Q2'26
— Membership (YoY)	4,564	4,625	4,568 (+6.6%)	4,792 (+8.1%)
Social ent. (YoY)	1,494 (−2.7%)	1,542 (−5.2%)	1,381 (−11.0%)	1,328 (−16.4%)
Gross margin	43.5%	44.7%	44.9%	44.2%
Non-IFRS net profit (YoY)	2,405 (+32.6%)	2,485 (+9.0%)	2,273 (+7.0%)	2,686 (+4.4%)

The pattern is unmistakable: music growth is decelerating but still double-digit; the social decline is accelerating as it laps a smaller base; margins hold at 44%+ throughout. Ximalaya contributed RMB 407M in its first ~6 weeks (closed May 18, 2026); management calls it gross-margin accretive.

Balance sheet & capital returns (June 30, 2026):

Net cash RMB 27.7B — RMB 44.2B of cash, term deposits and short-term investments against RMB 16.5B of debt (incl. Ximalaya financing and the \$500M 2030 notes). That is ~\$4.1B, or \$2.61 per ADS — 34% of the share price. A September 2026 \$1B senior-notes issue (5.050%/5.650%, 2031/2036) refinances maturities and funds buybacks; net cash remains strongly positive.

Deferred revenue up 27% since year-end (RMB 4.89B) — the subscription leading indicator is pointing up even as the P&L growth decelerates.

Buybacks: \$1B program (Mar 2025–Mar 2027); \$400M deployed in Q2 2026 (43.5M ADSs at ~\$9.20); \$600M remaining. Repurchasing at \$7.74 retires ~5% of shares outstanding — highly accretive.

Dividend: FY2025 \$0.24/ADS (~\$370M total), yielding 3.1% at \$7.74; payout ratio ~29%. Raised two years running.

KPIs (last disclosed quarterly series, ends Q4 2025): paying subscribers 113.5M → 127.4M (Q1'24→Q4'25); monthly ARPPU RMB 10.6 → 11.9; online-music MAU 578M → 528M; SVIP >20M. **From Q1 2026 the company discloses user metrics annually only** — a genuine transparency negative, and the reason the stock fell 25% on the Q4 print.

5 Growth, Moat & Future Projection

The growth algorithm has three legs — and our forward view is explicit about which leg matters:

- 1. SVIP mix shift (the key leg).** Paying-user net adds are decelerating (+1.3–1.7M/quarter), but ARPPU has risen eight straight quarters on SVIP conversion (>20M subs at 5× standard price). Our model assumes membership revenue grows 8–9% annually on mix alone — no heroics on user count required. If SVIP stalls, the thesis breaks; it is the #1 metric to watch in the annual disclosure.
- 2. Marketing & consumption services (the fast leg).** Advertising, concerts, merchandise, and IP experiences grew ~28% in Q1 2026. Offline recovery plus superstar economics (Jay Chou's 2026 exclusive pre-order) give this a mid-teens trajectory off a smaller base.
- 3. Ximalaya (the new leg).** ~RMB 14B total consideration (~RMB 8.6B cash + ~175M shares; RMB 9.2B goodwill) for China's long-form-audio leader. Strategically sound — spoken audio deepens the SVIP bundle and defends time-spent against podcasts — but the price looks full and SAMR imposed behavioral conditions (no auto bundling, no creator lock-in). We model modest accretion from 2027, not a synergy windfall.

Our projections (RMB millions):

RMB millions	2025A	2026E	2027E	2028E
Revenue	32,902	35,900 (+9.1%)	39,000 (+8.6%)	42,300 (+8.5%)
— Music-related services	26,726	30,650	33,900	37,200
— Social entertainment	6,176	5,250	5,100	5,100

RMB millions	2025A	2026E	2027E	2028E
Gross margin	44.2%	44.5%	45.0%	45.2%
Non-IFRS net income	~9,800	10,900	12,050	13,150
Non-IFRS EPS / ADS (USD)	~\$0.92	\$1.02	\$1.13	\$1.24

Music grows ~10–11% (membership +8–9% on SVIP mix, ads/IP mid-teens, Ximalaya full-year from 2027); social declines mid-teens then stabilizes as a sub-12% stub. Margins edge up on mix. This is a single-digit-to-low-double-digit compounder, not a hypergrowth story — priced accordingly in our multiples.

On moat — honestly: the 2021 SAMR ruling ended exclusive label licensing, so **the moat is distribution, product, and data, not catalog lock-in**. The advantages are real: (1) Tencent ecosystem distribution (WeChat/Weixin's 1B+ users, QQ, Tencent Video, games); (2) 528M-user recommendation data flywheel, now AI-augmented; (3) multi-year deals with all three majors plus equity stakes (2% UMG, ~9.5% SM Entertainment); (4) ~60% China online-music share with 3× the paying subs of NetEase. The offsets: labels now license to everyone (NetEase secured the same catalogs), and ByteDance's discovery algorithm is a distribution moat of its own. This is a **wide-but-narrowing moat**: defensible on product and scale, assailable on discovery.

The long runway both bulls cite: China paid penetration is just above 10% vs ~38% at Spotify. Even modest convergence — plus ARPPU moving toward Spotify-like levels via SVIP — is a multi-year earnings driver that requires no heroic assumptions.

6 Competitive Landscape

Player	Scale	Position	Threat / read
TME	127.4M paying; 528M MAU	~60% share; Tencent ecosystem	The incumbent. 3× NetEase's paying base; SVIP-led ARPPU growth
NetEase Cloud Music (9899.HK)	~41M paying; 37% gross margin	Indie/community identity; youth	The real rival. Same catalogs now; derated identically (~9× P/E). Two-player market in practice
ByteDance Qishui / Soda	167M MAU, +69% YoY	Free; short-video discovery	The genuine threat. Compressing the funnel; forced TME's defensive free tier
Spotify (SPOT)	\$97B mkt cap; ~27× P/E	Global leader; TME shareholder	Not a China competitor — but the valuation benchmark: 3× TME's multiple
Warner Music (WMG)	\$14B; ~21× P/E	Content owner; TME partner	Content-side comp; labels hold pricing power post-2021

The read: a two-player paid market (TME + NetEase) under assault from a free third player (ByteDance) at the top of the funnel. TME's answer — its own free tier plus SVIP differentiation — is the right strategy; the question is whether free-tier users convert upward or simply never pay. Citi's July 2026 survey (QQ Music 189M MAU vs Qishui 167M and closing) says the window to win the conversion battle is now.

7 Valuation — v2 Scenario DCF + Addendum B, Fair Value \$13

Inputs (Oct 4, 2026): \$7.74/ADS; ~1,574M ADSs; RMB 27.7B net cash (~\$3.85B at 7.20 CNY/USD), unhaircut in base/bull; TTM net income RMB8.92B (26.3% margin) anchors operating FCF margins; 2027E non-IFRS EPS \$1.13/ADS. The October 3 note had real audit hits, and this v2 rebuild fixes them: a bear case (\$12.21) that sat *above* the price, a \$14.50 target built on a judgmental uplift over the reconciled \$13.89, and math that did not reconcile. Fixed: a real bear, widened discount spreads, the bull terminal capped at 2.5%, **no judgmental uplift**, and the H2'26 11.5%-acceleration demand replaced with a sober **7% revenue CAGR**. The target *is* the probability-weighted scenario DCF — no blend, no departure.

7.1 Scenario FCF DCF (25/50/25) — \$13

Ten-year scenario free-cash-flow DCF, weights bear 25% / base 50% / bull 25%, with Addendum B discount rates: **bear 17.0%** (speculative 12% + 250bp bear derating + 250bp China CRP) / **base 14.5%** (speculative 12% + 250bp

China CRP) / **bull 13.0%** (speculative 12% + 250bp CRP – 150bp). Operating projections: music services compound ~7%/yr (the v2 note's H2 acceleration demand is dropped), TTM net income of RMB8.92B (26.3% margin) anchors FCF margins, net cash RMB27.7B (\$3.85B) sits in the balance-sheet bridge unhaircut in base/bull. Terminal growth $\leq 2.5\%$ (bull capped at 2.5% per the audit fix); terminal value under the 70% haircut line in every scenario.

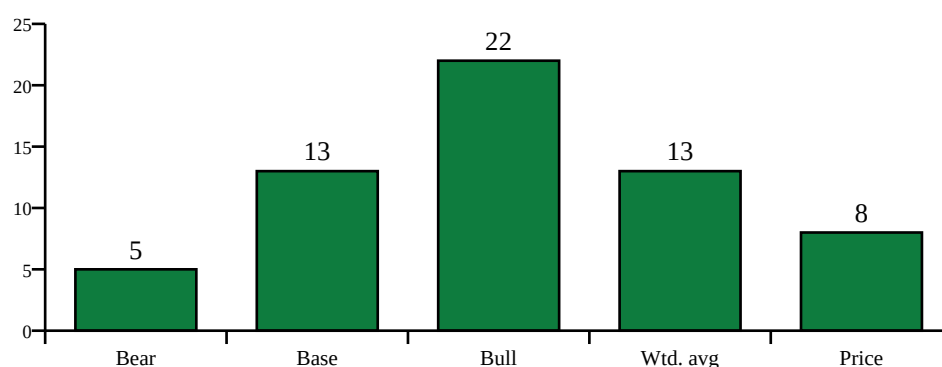
Scenario	Rev CAGR	FCF margin (yr-10)	Discount / term. g	Fair value
Bear — VIE tail realized	3%	18%	17.0% / 1.0%	\$4.84
Base — subscription compounding	7%	26%	14.5% / 2.0%	\$12.70
Bull — SVIP inflection	10%	30%	13.0% / 2.5%	\$21.87
Probability-weighted (25/50/25) → \$13 target				\$13.03

The bear case (\$4.84, –37% vs price) is the VIE-tail realization: a **25% confiscation haircut on equity**, carried in the bear only (disclosed). Without the haircut the operating bear is only –8% — the VIE tail does the work, stated plainly. The base (\$12.70) is the subscription compounder on evidence: 7% revenue CAGR, SVIP mix lifting ARPPU, Ximalaya modestly accretive from 2027. The bull (\$21.87) is the binary re-rating: SVIP converts 30M+ and the paid-penetration story inflects. What changed vs the October 3 note, line by line: a real bear (was +58% above price), no judgmental uplift (old \$14.50 vs reconciled \$13.89 — dropped), 7% CAGR (was 11.5% H2 acceleration), bull terminal capped at 2.5%. The old \$14.50 is withdrawn.

7.2 Cross-checks

Regional comps (disclosed): ex-cash, the \$13.03 fair value is **10.6× forward EPS** vs NetEase Cloud Music 7.9× / Kuaishou 10.4× — **broadly supports**: a small premium for SVIP ARPPU growth, not a leap. The old note's SOTP (\$10.31 mid) and EPV (\$10.76, the zero-growth floor) remain downside context: even the no-growth value covers today's price by 39%. The reverse-DCF still holds: at \$7.74 the market prices *perpetual FCF decline* against a business growing music revenue 11% at 44% gross margins — you do not need growth to win from here; you need *not-decline*.

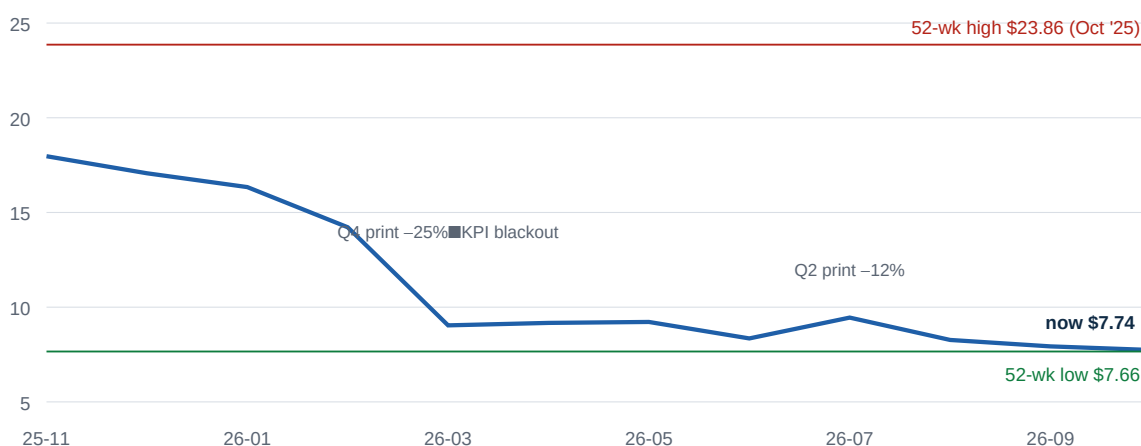
Scenario fair values vs. current price (\$/ADS)



Price target: \$13 ($0.25 \times \$4.84 + 0.50 \times \$12.70 + 0.25 \times \$21.87 = \13.03 , rounded). Implied upside **+68.0%** vs the \$7.74 close, plus a 3.1% dividend. **What would falsify the BUY:** the load-bearing variable is **SVIP conversion** — unobservable until the March 2027 annual KPI disclosure. If SVIP stalls below 25M or the ARPPU mix fails to lift, the base case is wrong and the bear owns the stock. A second ByteDance escalation (Qishui free-music expanding beyond 167M MAU) would do the same. We would downgrade to HOLD above ~\$12 (upside <8% to target) and add aggressively on a sentiment-driven wash toward \$6 with the thesis intact.

One year: –66% to 52-week lows on saturation fear and the KPI blackout

TME monthly close, Nov 2025 – Oct 2026 (\$)



Three legs down: the March Q4 print (–25% on the KPI-disclosure cut), Ximalaya indigestion through the summer, and the August Q2 print (–12% despite a beat) — then a drift to fresh lows on thin volume. Source: market data, Oct 2, 2026.

8 Key Risks

ByteDance free-music disruption (the #1 risk). Qishui/Soda Music: 167M MAU, +69% YoY, free. It compresses the top of the funnel (TME MAU is already declining) and forced TME into a defensive free tier — a reversal of China's decade-long shift to paid streaming. If the free tier cannibalizes rather than converts, the ARPPU engine stalls and the bear case (\$9.00) is in play.

Ximalaya integration & goodwill. RMB 9.2B of goodwill on a ~RMB 14B deal that looks fully priced; SAMR behavioral conditions (no auto bundling, no creator lock-in) cap synergy extraction; amortization is already lifting opex (+12% in Q2).

Opacity. Quarterly disclosure of MAU, paying users, and ARPPU ended in Q1 2026. You will be flying with fewer instruments; the annual disclosure becomes a single high-stakes event.

Social-entertainment decay. –16.4% and accelerating off a smaller base. If the decline steepens further before music growth inflects, headline numbers stay ugly and the derating persists.

Royalty cost inflation. With exclusivity gone, labels license to everyone and hold full bargaining power; multi-year renewals (UMG, Sony, Warner) can reprice upward against a fixed ~RMB 8–11 ARPPU.

Tencent control & regulatory overhang. 55.5% ownership with CEO/CFO/GC appointment rights; SAMR has shown it will act (2021 exclusivity ban, 2026 Ximalaya conditions). Minority holders ride Tencent's strategic priorities.

China consumer. Retail sales +0.4% in August 2026; 'strong supply, weak demand' per the NBS. A subscription is discretionary — though services retail (+4.9%) is outperforming goods, which favors TME over goods-exposed peers.

9 Catalysts, Recommendation & What Could Change Our Mind

Catalysts over the next 12 months: (1) **Q3 2026 earnings (~mid-November)** — the print must show music-services growth holding double digits and opex discipline; (2) **annual KPI disclosure (with Q4, ~March 2027)** — SVIP trajectory is the single number that matters; (3) **Ximalaya integration milestones** — backend merger, SVIP-bundle uptake; (4) **buyback execution** — \$600M remaining through March 2027, highly accretive at \$7.74; (5) **any stabilization in MAU or the free-tier conversion story.**

Recommendation: BUY, \$13.00 target. TME pairs the cheapest valuation in global music streaming (7.4× trailing earnings, 4.9× ex-cash, 16.6% FCF yield on the operating business) with a proven subscription engine: 127.4M paying subs, 44% gross margins, SVIP at 5× ARPPU scaling past 20M, and net cash equal to one-third of the

market cap. The v2 scenario DCF (bear \$4.84 / base \$12.70 / bull \$21.87 → weighted \$13.03) offers +68.0% upside plus a 3.1% dividend, with China risk priced explicitly in the rate and no judgmental uplift. Risk is Medium: the ByteDance threat is structural, the KPI blackout reduces visibility, and Ximalaya must earn its price — but all three are in the price after a 66% decline, and the reverse-DCF shows the market demands *perpetual decline*, a bar the business is already clearing. Size it as a position, not a core holding, and use the Q3 print as the confirmation checkpoint. We would downgrade to HOLD above ~\$12 (upside <8%) and add aggressively on a sentiment-driven wash toward \$6 with the thesis intact.

What could change our mind: SVIP stagnation or paying-sub *declines* in the annual disclosure (bearish — the \$9.00 case); Qishui overtaking QQ Music in MAU with no conversion offset (bearish); Ximalaya goodwill impairment (bearish); a re-acceleration of paying-user adds or paid-penetration inflecting toward 15% (bullish — re-rate toward \$18+); Tencent increasing its stake or taking TME private (bullish event).

Methodology & sources. Financial statements per TME 20-F filings (FY2022 filed Apr 2023, FY2024 filed Apr 2025, FY2025 filed Apr 17, 2026) and 6-K earnings releases (Q3 2025 through Q2 2026, reported Aug 11, 2026), cross-verified against market-data provider financials. Business, product, and competitive facts per company earnings releases and call transcripts, SAMR orders, IFPI, and reputable music-industry and financial press, gathered via three parallel research passes with per-fact sourcing (research dossier retained in workspace). Market prices via live finance data, Oct 2, 2026 (TME \$7.74; 52-wk \$7.66–\$23.86). Sell-side targets per MarketBeat/analyst notes (Aug–Sep 2026). All 2026E+ projections and valuation judgments are the author's. Model detail in *tme_model.py*.

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